

Spotify's growth engine

How the freemium model acquires, converts and retains - and where the economics still constrain it



SPOTIFY

The free tier is distribution; Premium monetizes the habit

A two-sided audio platform uses a broad, ad-supported audience to create conversion inventory, listening data and cultural relevance - then captures most revenue through subscriptions.

1

Acquire

Free access, creator catalog, device ubiquity and partnerships reduce the cost of first use.

2

Learn

Every session improves recommendations, playlists and the perceived cost of switching.

3

Monetize

Premium removes friction; ads monetize users who remain free.

U.S. Premium: Individual \$12.99 | Student \$6.99 | Duo \$18.99 | Family \$21.99

Scale compounds faster than the market; free grows faster

777M

MAUs

+12% YoY

300M

Premium subscribers

+9% YoY

€4.78B

Quarterly revenue

+14% YoY

33.4%

Gross margin

+193 bps YoY

Benchmark read

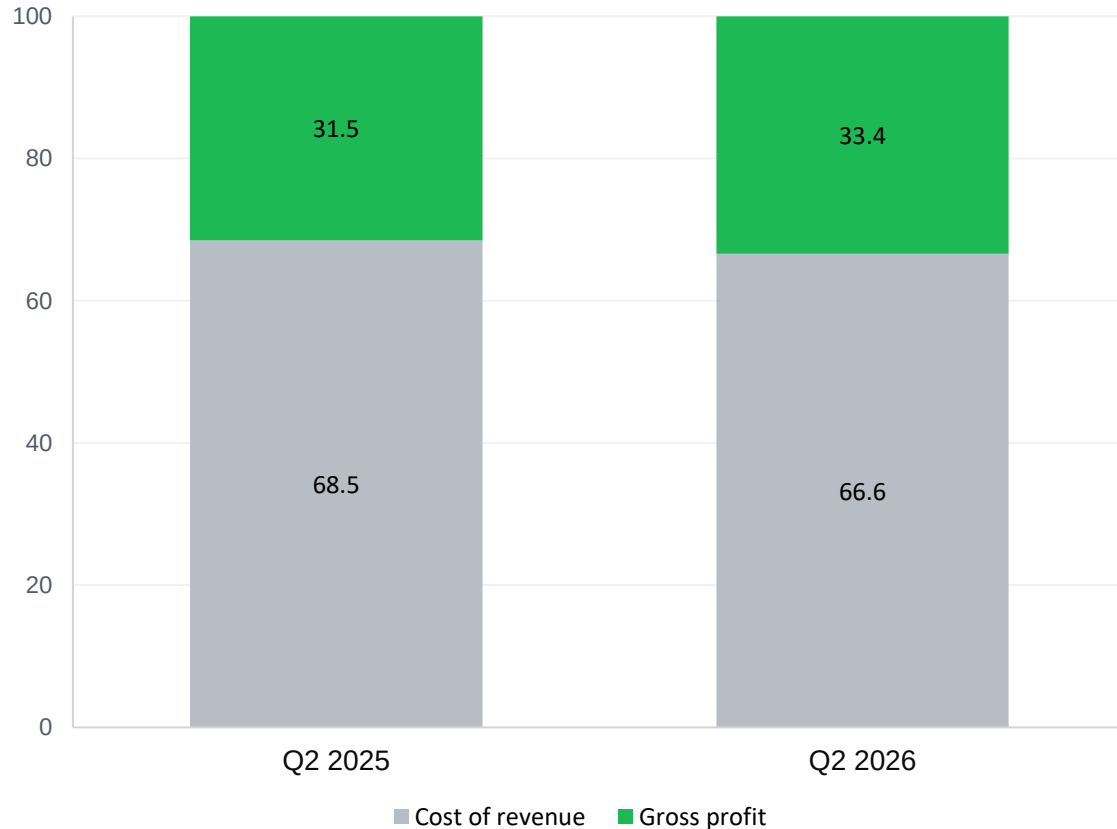
Spotify revenue growth (14%) is more than twice 2025 global recorded-music growth (6.4%). Premium subscriber growth (9%) is broadly in line with global paid-streaming account growth (~9.6% from 2024 to 2025). The caveat: company quarterly growth and industry calendar-year growth are not perfectly matched periods.

Conversion proxy

38.6%

Premium subscribers / MAUs
vs. 39.7% one year ago

Two-thirds of revenue still exits as cost of revenue



€3.18B

Q2 2026 cost of revenue
(€4.777B revenue - €1.596B gross profit)

What consumes it

- Music royalties and higher licensor rates
- Audiobook licensing and video-podcast costs
- Payment processing and streaming delivery

Why margin improved

Revenue grew faster than music costs; marketplace-program benefits and favorable podcast/tax effects helped.

Product distribution carries acquisition

- | | | |
|----|---------------------|--|
| 01 | Freemium | Zero-price entry turns product usage into the top of funnel and creates a persistent upgrade surface. |
| 02 | Ecosystem | Compatibility with 2,000+ devices puts Spotify in cars, speakers, TVs, consoles and wearables. |
| 03 | Partnerships | Telco, hardware, creator and cultural partnerships bundle distribution with moments people already care about. |
| 04 | Paid / promo | Free trials, brand advertising and events remain real costs, but Spotify does not disclose spend by channel. |

Paid social supports the engine; freemium, ubiquity, partnerships and personalization are the moat.

Three levers reduce conversion barriers

1

Trial

\$0 for three months lets an eligible user experience Premium before paying \$12.99/month.

Moves: trial start → paid conversion

2

Friction removal

Ad-free listening, offline downloads, full playback control and lossless audio make the benefit immediate.

Moves: free → Premium intent

3

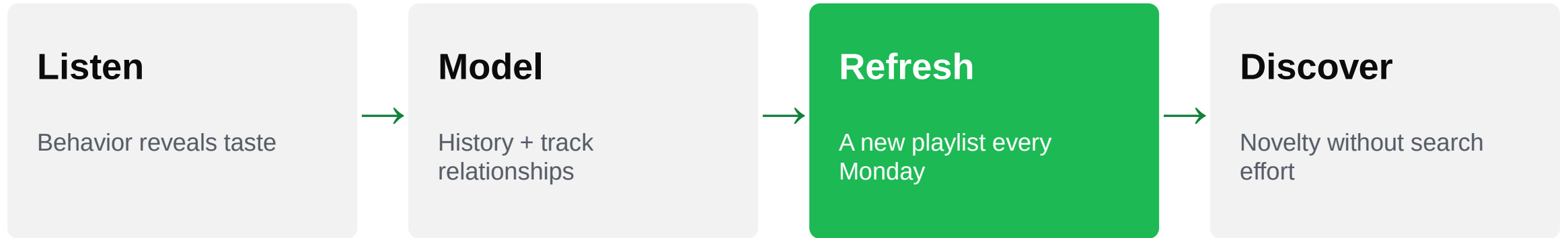
Segmented plans

Student, Duo and Family plans price the same core utility around willingness to pay and household structure.

Moves: checkout completion + retention

Effectiveness ranking is inferred from funnel design; Spotify does not publish controlled lift by lever.

Discover Weekly creates a Monday retention loop



Primary metric: listening days per MAU

Leading: Monday opens, playlist starts, saves and completes.
Lagging: 28-day retention, churn and reactivation.

The flywheel creates three strategic constraints

01

Rights-holder leverage

Royalties scale with usage and contractual rates; 72% of label-delivered audio streams came from the three majors' affiliates plus Merlin-represented catalogs in 2025.

02

Monetization mix

Ad-supported MAUs grew 14%, faster than Premium subscribers at 9%, while ad-supported revenue grew only 1% in Q2 2026.

03

Feature cost creep

Audiobooks, video podcasts, creator payouts, cloud and AI deepen engagement but can dilute incremental margin if adoption outruns monetization.

What to copy - and what not to copy

COPY

1. Let the free product prove value before asking for payment.
2. Make personalization compound with every use.
3. Price by segment and household, not one-size-fits-all.
4. Build distribution into devices, partners and culture.

DO NOT COPY BLINDLY

1. A free tier without a clear upgrade trigger.
2. Engagement features without unit-economics gates.
3. Paid acquisition judged on registrations instead of downstream contribution.
4. Channel claims that the reporting cannot substantiate.

The durable lesson is not 'be Spotify.' It is to make acquisition, product value and retention reinforce the same economic loop.

Sources

Spotify Q2 2026 shareholder update

<https://newsroom.spotify.com/2026-08-04/spotify-q2-2026-earnings/>

IFPI Global Music Report 2026

<https://www.ifpi.org/global-music-report-2026-global-recorded-music-revenues-grow-6-4-as-record-companies-drive-innovation/>

Spotify 2025 Form 20-F

<https://www.sec.gov/Archives/edgar/data/1639920/000162828026006874/ck0001639920-20251231.htm>

Spotify Engineering: Discover Weekly

<https://engineering.atspotify.com/2015/11/what-made-discover-weekly-one-of-our-most-successful-feature-launches-to-date>

Spotify Premium U.S. plans

<https://www.spotify.com/us/premium/>

Spotify Engineering: algotorial playlists

<https://engineering.atspotify.com/2023/04/humans-machines-a-look-behind-spotifys-algotorial-playlists>

Figures and interpretations are current through Q2 2026. Calculation notes and full citations also appear in the slide speaker notes and repository README.